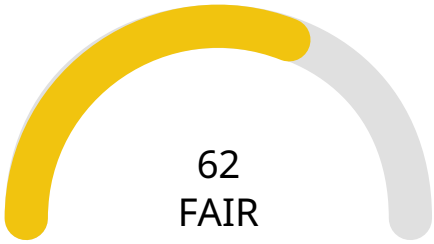
# UNP

Union Pacific Corporation (NYSE)
As-of: 17-Oct-2026 | Latest Filing: Q2 2026 (10-Q) | Currency: USD

**$289.04** [Mkt 16-Oct-26]

Market Cap: $171.7B [Mkt 16-Oct-26]

## Attractiveness Score




Confidence: **High** (0 pillars excluded)

## Pillar Breakdown

**1. Operating Quality** — 85

Premier North American railroad with 29% net margins and 38% ROE. Pricing power through economic cycles. The moat is the physical network.

**2. Recent Trend** — 70

Q2 beat on EPS and revenue, record productivity metrics, sixth straight quarter of pricing gains. But carload volume is flat; growth is price, not volume.

**3. Forward Growth** — 55

Freight volumes track industrial production; low-single-digit growth at best. The NSC merger is the growth story but faces regulatory risk and integration complexity.

**4. Valuation** — 40

At $289.04 vs $217.75 DCF base (-24% upside), the stock is materially overvalued. NTM P/E 20.3x and PEG 2.87 are full for a low-growth railroad.

**5. Catalysts & Risk** — 65

Q3 earnings Oct 22 is the near-term test. NSC merger is two-sided: transformational if approved, a major overhang if blocked. Volume softness is the risk.

## Investment Thesis

- **Best Railroad, Full Price:** Union Pacific is the premier North American railroad: 29% net margins, 38% ROE, six straight quarters of pricing gains, record productivity. The operating quality is unquestioned [8-K Q2 2026].

- **Merger Is the Story:** The proposed Norfolk Southern combination would create the first transcontinental US railroad. It is also the only credible growth driver beyond low-single-digit volume gains [8-K].
- **Overvalued on DCF:** At $289.04 [Mkt 16-Oct-26], the stock is 33% above our $217.75 DCF base. Quality deserves a premium, but the current price assumes the merger closes smoothly and volumes recover.

## Key Operating Metrics

| METRIC | LATEST | YOY CHANGE | 3Y TREND |
|---|---|---|---|
| Revenue (Q2 2026) | $6.86B [8-K Q2 2026] | +11.5% [8-K Q2 2026] | Up |
| EPS (Q2 2026) | $3.41 [8-K Q2 2026] | +12.5% [8-K Q2 2026] | Up |
| Operating Ratio | ~59% [8-K Q2 2026] | -1.1 pts [8-K Q2 2026] | Down |
| Net Margin | 28.9% [8-K Q2 2026] | +1.0 pts [8-K Q2 2026] | Up |
| Return on Equity | 38.5% [8-K Q2 2026] | n/a [n/a] | Up |
| Revenue (FY25) | $24.5B [10-K FY25] | +1.0% [10-K FY25] | Up |
| Net Income (FY25) | $7.14B [10-K FY25] | +5.8% [10-K FY25] | Up |

## Historical Financial Trend

| METRIC | FY21 | FY22 | FY23 | FY24 | FY25 |
|---|---|---|---|---|---|
| Revenue | $21.8B [10-K FY21] | $24.9B [10-K FY22] | $24.4B [10-K FY23] | $24.3B [10-K FY24] | $24.5B [10-K FY25] |
| Op Ratio | 57.2% [10-K FY21] | 60.1% [10-K FY22] | 62.3% [10-K FY23] | 58.9% [10-K FY24] | 58.5% [10-K FY25] |
| Net Margin | 29.9% [10-K FY21] | 28.0% [10-K FY22] | 26.1% [10-K FY23] | 27.8% [10-K FY24] | 29.1% [10-K FY25] |

## Valuation

### Absolute (3/10)

NTM P/E 20.3x [Mkt 16-Oct-26]
DCF Base $217.75 vs $289.04 spot [Mkt 16-Oct-26]
PEG 2.87 [Mkt 16-Oct-26]

DCF implies 25% downside. PEG of 2.87 is expensive for low-single-digit growth.

### Versus Peers (5/8)

CSX 27x, NSC 27x NTM P/E [Peers 16-Oct-26]

In line with Class I peers, all of which look full.

### Versus History (4/7)

Trading near the high end of historical multiples [Mkt 16-Oct-26]

Merger speculation supports the premium; fundamentals alone do not.

## Catalyst Timeline

**Oct 22, 2026** [Cons]
Q3 2026 Earnings: consensus $3.47 EPS on $7.12B revenue. Operating ratio is the key metric.

**2026-2027** [8-K]
Norfolk Southern merger regulatory review; STB application expected after Oct 29.

**2027** [8-K guid]
Pricing gains and productivity initiatives target continued OR improvement.

## Top Risk Factors (Item 1A)

**1. Merger Regulatory Risk:** STB may block or condition the NSC merger; a rejection would remove the primary growth catalyst. [10-K FY25]

**2. Economic Sensitivity:** Freight volumes are economically sensitive; a recession hits carloads across all segments. [10-K FY25]

**3. Leverage:** Debt/equity of 1.72x limits financial flexibility for the merger and buybacks. [10-K FY25]

## Forward Growth Drivers

- Core pricing gains for sixth consecutive quarter; freight revenue ex-fuel at record [8-K Q2 2026]

## What Would Change Our Score

STB approval of the NSC merger would add a strategic premium. A Q3 volume miss or merger rejection would cut Growth and Catalysts.

- Best-ever workforce productivity, fuel consumption, terminal dwell [8-K Q2 2026]
- Proposed Norfolk Southern merger creates first transcontinental railroad [8-K]

## Missing / Modified Data Log

- Quarterly operating ratio sourced from earnings releases; annual from 10-K.
- 5-year multiple history from market data, tagged [Mkt 16-Oct-26].

This scorecard is for educational and informational purposes only. It is not financial, investment, or tax advice, and nothing here is a recommendation to buy or sell any security. It is generated by an AI model and does not consider your individual circumstances. All figures are approximate, may be out of date, and are not guaranteed to be accurate. Verify independently and consult a licensed professional before investing. You are responsible for your own investment decisions.

**Not financial advice. For educational purposes only. Do your own research.**